



E3 COMPASS

Governance

Field Guide for Lead Operating Partners

Who decides what in this company, and is anyone holding the CEO to a standard higher than the owner's own judgment?

This guide reflects E3's current operating point of view on governance in founder-led businesses. It draws on the E3 Compass Governance knowledge, the associated Plays and Tools, and the LOP Question Bank. It is written for an experienced operator, investor, or board member who is picking up a Member engagement, not as a primer on corporate governance.

INTERNAL • E3 COMPASS KNOWLEDGE GOVERNANCE
ENVISION • EXECUTE • EXPAND

1. The Operating Question

Governance is the first thing an LOP should read in a founder-led company, because it sets the ceiling on everything else. A business can have a good strategy, a capable team, and real market demand and still be worth materially less than it should, because every important judgment runs through one person and no one has the standing to test that person's thinking before a decision is made.

The question to hold in mind through the first ninety days is simple to state and uncomfortable to answer honestly:

Who has the right to decide what, and is anyone holding the business accountable to a standard higher than the owner's own?

Most of the value at stake in governance is not in compliance or process. It is in decision quality and in the concentration of risk. A company that depends entirely on the founder's judgment is priced for that dependency. A buyer sees it immediately, a lender prices it, and an insurer underwrites around it. The LOP's job is to see it before any of them do, and to help the Principal decide whether they are willing to build the thing that removes it.

2. The E3 Point of View

Governance sets the ceiling on every other capability. Weakness here caps the multiple a buyer will pay and concentrates risk in a single point of failure. It is not the most urgent thing in most companies, and it is often the most valuable, because it is the constraint that quietly limits the return on all the other work. When an LOP is deciding where to spend the first months of an engagement, the governance read usually explains why earlier attempts to fix operating problems did not hold.

A board is for judgment, not for compliance. The test of a board is whether someone outside management has changed a decision. If the honest answer covering the last year is no, the company has the cost of a board and none of the benefit. Many founders build a board of friendly advisors, service providers, and family, and describe it as governance. It is an audience. The distinction that matters is whether the room can tell the Principal something they do not want to hear and make it stick.

Decide what the board is for before recruiting anyone. Counsel, control, credibility, and succession are four different purposes, and each implies a different kind of director. A board assembled for industry expertise the management team already has is a board recruited against the wrong specification. The gap the board should close is almost never operating knowledge. It is independent judgment on capital, strategy, leadership, and the Principal's own role.

Decision rights are a governance question, not a delegation exercise. When leaders wait for the Principal before acting, when decisions stall the moment the Principal travels, and when a senior hire cannot gain authority, the issue is rarely that the Principal is unwilling to delegate in principle. It is that the right to decide has never been written down and defended in practice. Publishing a decision rights matrix changes nothing on its own. What changes behavior is the Principal presenting it, and then not reversing a leader's decision in the categories they have released.

The objection to a real board is usually control, stated as something else. A founder who says the board is a formality, or is for when we sell, is often expressing a fear that a real board reduces their control. That fear is legitimate and worth naming directly. Until it is addressed, every governance recommendation lands on a person who is quietly resisting the premise. The LOP who treats this as a mechanics problem when it is an ownership problem will produce an expensive advisory board and call it done.

Governance quality is repriced first in a transaction. When ownership changes hands, the discounts a buyer applies for governance gaps are among the earliest and clearest adjustments in diligence. Board records that do not hold up, decision rights that live in one

person's head, and a succession plan that does not exist are not abstract weaknesses. They are line items in a valuation.

3. What Good Looks Like

A company with real governance is recognizable from the inside within a meeting or two. It does not depend on the size of the board or the formality of the documents. It shows up in how decisions are made and who is allowed to shape them.

The board includes at least one independent director with relevant operating experience, someone with no economic or personal dependence on the Principal. Meetings run on a standing cadence, with materials distributed far enough in advance that directors have read them before they arrive. Most of the board's time goes to strategy, capital, and leadership rather than to a review of last month's operating results. Management brings problems to the board while they are still open, not after they have been resolved and packaged as good news.

Decision rights are written down and understood. People can say what the CEO can approve alone, what requires consultation, and what is reserved to the board. The CEO is evaluated on a schedule against a standard, rather than only when something has gone wrong. And the difficult topics that most boards avoid, succession, compensation, and the Principal's own performance, are on the calendar rather than permanently deferred.

None of this requires a large or expensive board. A single capable independent director, a real agenda, and materials that arrive in time to be read will outperform a formal board that meets to receive presentations.

4. What the LOP Should Notice

Governance problems announce themselves in patterns, not in single incidents. A board meeting that runs long, one late board pack, one deferred decision: none of these means much alone. The signal is repetition, deferral, and avoidance across time.

In the room, watch how the board meeting actually runs. If it is a sequence of management presentations with no real challenge, the board is an audience. If materials arrive the night before or in the room itself, no one is expected to engage with substance. If the same strategic question appears on three consecutive agendas without resolution, the board is either unable or unwilling to decide, and the LOP should find out which.

In the composition, notice who is in the seats and why. Directors who are personal friends, service providers to the company, or family members with no independent standing are there for reasons other than judgment. A director who has never changed a management decision is either superfluous or silenced, and both are worth understanding.

In the language, listen for how the Principal describes the board. The board is a formality, or the board is for when we sell, tells you the Principal does not expect judgment from it and is unlikely to accept challenge when it comes. Approval thresholds that exist on paper and are routinely bypassed tell you the same thing in a different register.

In the record, test whether anyone can say what the board decided last quarter. If no one can, the meetings are producing activity without decisions. And notice what the board has never discussed. When succession, CEO performance, and compensation have never appeared on an agenda, their absence is the finding.

Taken together, these signals usually point to one of a few underlying conditions. A board of loyal advisors, materials that arrive too late to matter, and an agenda driven by whatever is urgent are not three separate problems. They are the visible surface of a Principal who treats the board as a compliance artifact rather than a source of judgment, or who has never decided what the board is for. Reading them as one condition rather than several is what separates diagnosis from a checklist.

5. Diagnosis

The governance read is where an LOP earns the engagement, because the presenting complaint is almost never the real problem. A Principal who says the board is not adding value may have the wrong directors, the wrong agenda, or the wrong expectation of what a board does. A leadership team that will not step up may be facing a decision-rights problem, a capability problem, or a Principal who takes work back after delegating it. The interventions for these are different, and prescribing the wrong one wastes the engagement's credibility on a fix that cannot hold.

Separate the symptom from the cause. Slow decisions, a disengaged board, a senior hire who cannot gain traction: each is a symptom that maps to more than one cause. The discipline is to hold the diagnosis open until the evidence points to a single condition, rather than reaching for the first plausible explanation. Most governance root causes in mid-market companies come down to a small set: unclear decision rights, directors chosen for loyalty rather than capability, no chair with the standing to hold the CEO accountable, or a Principal who has not decided what the board is for.

Separate the founder's stated objection from the real one. When a Principal resists a real board, the reason they give is rarely the reason that matters. Time, cost, and confidentiality are the stated objections. Control is usually the actual one. The way to test this is not to argue the stated objection but to ask what the Principal would do if the board disagreed with them. The hesitation before the answer is the diagnosis.

Separate a temporary issue from a structural constraint. A board that has drifted through two weak meetings during a busy operating period is a different problem from a board that has never challenged a decision in three years. The first is a scheduling and preparation fix. The second is a composition and purpose problem that no amount of better agendas will solve.

Separate the management explanation from the evidence. When management explains why the board works the way it does, treat the explanation as a claim to be tested rather than a fact. The board records, the decision log, and the agendas over the last year will usually tell a clearer story than the narrative offered in the room.

A short set of diagnostic questions does more than a governance audit. Ask them, and pay as much attention to which ones are deflected as to how they are answered.

- Who is on the board, how were they chosen, and what does each one contribute that no one else can?
- What has the board actually decided in the last four meetings?
- When was the last time a director changed a management decision?

- What percentage of board time goes to operating review rather than strategy, capital, and people?
- Who evaluates the CEO, against what standard, and how often?
- What topics has this board never discussed?
- What can the CEO approve without consulting anyone, and when was that list last updated?
- If the Principal were unavailable for six months, who would run the company and who would decide that?

The last question is the one that most often changes the conversation, because it converts an abstract governance discussion into a concrete question about risk the Principal has usually never answered out loud.

6. The Questions Worth Asking

The questions below are for provoking thinking, not for gathering information. Most cannot be answered with a number, and the useful part is usually the hesitation before the answer. Three good questions in a meeting is a strong outcome. A list of twenty is an interrogation. Ask one, and wait. The second question is usually worse than the silence.

On the board itself

- What has the board actually decided in the last four meetings?
- When was the last time someone outside management changed a decision?
- What topics has this board never discussed?
- Who evaluates the CEO, against what standard, and how often?
- What would a buyer's diligence team conclude about how this company is governed?

On founder dependency

- What decisions still come to the CEO that should no longer reach the CEO?
- If the Principal were unavailable for six months, what would break first and who would decide?
- What has the Principal taken back after delegating it, and why?
- What would the Principal have to stop doing for the leadership team to actually lead?
- Which customer and lender relationships live with one person?

On the Principal's willingness to be governed

- What will you do if the board disagrees with you?
- What would have to be true for you to genuinely value being challenged?
- What decisions do you want this board to own?
- What are you afraid will happen if you give this board real authority?

Notice which of these the Principal deflects. That pattern is itself evidence, and it usually tells the LOP more about the state of governance than any single answer.

7. Economics and Enterprise Value

Governance is easy to treat as hygiene, which is why it is chronically underfunded relative to its effect on value. The connection to enterprise value runs through four of the E3 value drivers, and it is worth being precise about the mechanism in each, because the Principal will fund the work only if the economic argument is concrete.

Risk Reduction and the key-person discount. A business whose critical judgments, relationships, and decisions all run through one person carries a concentration of risk that a buyer prices directly. The discount is not theoretical. It appears in diligence as a lower offer, in lending as tighter covenants and personal guarantees, and in insurance as key-person requirements. Governance work that distributes decision rights, documents relationships, and builds a real succession answer removes the specific thing being discounted. The return on that work is the discount avoided, and in a closely held company approaching a transaction it is frequently the highest-return governance investment available.

Founder Independence and Management Scalability. As long as the leadership team waits for the Principal, the company cannot grow faster than one person's attention. Every decision that unnecessarily reaches the Principal is capacity the business is not using and a leader who is not developing. Resetting decision rights is a governance change that shows up as throughput: decisions in the released categories move faster, the Principal's calendar clears for the few judgments that genuinely require them, and the team's capability compounds because they are finally allowed to exercise it.

Management Quality and the quality of decisions. A board that challenges management on substance improves the decisions the company makes, and decision quality compounds over years. This is the hardest driver to measure and often the largest in effect. A single independent director who forces a capital decision to be tested, or who stops an acquisition the organization cannot absorb, can be worth more than the entire cost of the board for a decade.

Strategic Optionality and Valuation Multiple. Good governance widens the set of things the company can credibly do. A business with clean board records, documented decision rights, and a functioning board can raise capital, recruit institutional directors, pursue acquisitions, and enter a sale process without first having to build the governance a counterparty expects. The absence of that governance forecloses options or forces them to be built under time pressure, which is the most expensive time to build anything.

The multiple is where these accumulate. Two businesses with identical earnings do not trade at the same price when one depends on a single person and the other does not. The gap between what a company is worth to its owner and what it is worth to someone else is, in

founder-led businesses, very often a governance gap. Closing it is slow, unglamorous work, and it is repriced more reliably than almost anything else an LOP can influence.

A note on precision. The direction of these relationships is well established in E3's view and in ordinary transaction experience. The size of any specific discount or multiple effect is company-specific and should be argued from the Member's own comparables and diligence history rather than from a general rule. Do not manufacture a number to make the case. The concrete version of the argument, drawn from the company's own situation, is always more persuasive than a generic multiple.

8. E3 Plays

Four Plays carry most governance work. Diagnose before reaching for any of them. A Play run against the wrong diagnosis produces a result that confirms the Principal's instinct to do nothing.

Board Creation

Compass: [02_E3_PLAYS/Board_Creation.md](#) · Foundational

Situation. The company has no real board, or a board that provides no challenge, and the Principal carries every strategic judgment alone. The trigger is often the Principal admitting they have no one to talk to about the hardest decisions, or a contemplated transaction, succession, or capital raise that exposes the gap.

What the LOP is trying to accomplish. A board that changes the quality of decisions, with at least one independent director whose judgment the Principal actually uses and whose challenge lands in the room, rather than an advisory group that sits through presentations.

Management owner. The Principal. **LOP role.** Bring Expertise and Govern. The LOP defines the need, shapes the director profile, and often runs the search.

Key steps. Establish what the board is for and the decisions it will own. Build a skills matrix from the three-year strategy rather than a generic list. Define the mechanics: size, cadence, committees, materials, compensation. Draft a board prospectus. Source and interview candidates against the matrix rather than against familiarity. Onboard directors properly, including a real business immersion. Run the first three meetings to the intended standard and review.

Evidence of success. At least one independent director with relevant experience is contributing, materials arrive in advance and are read, and management is challenged on substance in the room.

Common failure mode. Seating friends and calling it independence, or recruiting for industry knowledge the team already has, then failing to define decision rights so the board has no authority. Under-compensating directors and receiving proportional engagement is the quieter version of the same mistake.

Precondition worth enforcing. The Principal must be genuinely willing to be challenged, not only advised. Where they want an audience, this Play produces an expensive advisory board, and it is better not to run it until that is resolved.

Founder Decision Rights Reset

Compass: [02_E3_PLAYS/Founder_Decision_Rights_Reset.md](#) · Foundational

Situation. The Principal is still making decisions the leadership team should own. Leaders wait before acting, decisions stall when the Principal travels, and a new senior hire is not gaining authority. The Principal often complains about the volume while continuing to take work back.

What the LOP is trying to accomplish. A durable shift in who decides what, so that decision volume reaching the Principal falls and stays down, and leaders make decisions in their categories without checking.

Management owner. The Principal, with the CEO if the roles are separate. Each leader owns their own decision set. **LOP role.** Challenge, then Facilitate. The LOP names the pattern, holds the Principal to the tradeoff, and facilitates the design. The LOP does not make the decisions.

Key steps. Log actual decisions for two to four weeks: what was decided, by whom, and what it was worth. Sort them by value and by who should hold them. Meet the Principal alone, present the log, and establish what they are willing to release. Draft a decision rights matrix covering spend authority, hiring, pricing, customer terms, and strategic commitments. Test it against the last ten real decisions. Publish it with the Principal presenting it. Review it at the next two management meetings and correct where it was bypassed.

Evidence of success. Decision volume to the Principal falls and holds for a full quarter, leaders use their authority, and decision quality is stable or better.

Common failure mode. Publishing the matrix without changing behavior, which is the most common outcome. The Principal reversing a leader's decision publicly ends the experiment immediately. Releasing decisions to leaders who cannot make them produces a bad result and confirms the Principal's instinct to hold on.

Precondition worth enforcing. There must be leaders capable of taking at least some of these decisions. Where the team is not capable, the real work is a Leadership Capability Assessment, and this Play should wait.

Executive Compensation Reset

Compass: `02_E3_PLAYS/Executive_Compensation_Reset.md` · Intermediate

Situation. Compensation pays for behavior the strategy does not need. Sales is paid on revenue while the company needs margin, bonuses pay regardless of company performance, and verbal equity promises are surfacing. It reaches the board when a transaction is contemplated or when a leader who will build the value is a retention risk.

What the LOP is trying to accomplish. Incentives aligned to the value drivers, no undocumented promises left standing, and the people who will build the value aligned to the

outcome the owner wants.

Management owner. The Principal, with board or compensation committee oversight where one exists. **LOP role.** Bring Expertise and Govern.

Key steps. Document all current plans, including verbal commitments. Establish a compensation philosophy. Map incentive metrics to enterprise value drivers. Design short-term incentives on outcomes leaders can influence, weighted to margin and cash. Design long-term alignment for the people who will build the value, and put it in writing. Model payouts across performance scenarios, including a transaction.

Evidence of success. No undocumented promises remain, incentives are tied to margin, cash, or value drivers rather than volume alone, and key leaders are aligned to the owner's intended outcome.

Common failure mode. Designing complexity no one understands, changing plans without explaining why, or using compensation to avoid a performance conversation. Leaving equity conversations verbal, which reliably reappears in diligence.

Why it sits under governance. Compensation is where governance either has teeth or does not. Undocumented promises and misaligned incentives are governance failures that a compensation committee exists to prevent, which is why this Play often follows Board Creation rather than preceding it.

Succession Planning

Compass: [02_E3_PLAYS/Succession_Planning.md](#) · Advanced

Situation. The company has no answer for what happens if a critical person is gone, and key-person risk is acknowledged and unaddressed. The trigger is often a contemplated transition or liquidity event, a critical leader approaching retirement, or the risk being raised in diligence, insurance, or lending.

What the LOP is trying to accomplish. A documented answer to both emergency and planned succession for every critical role, backed by real development rather than a name on a chart, and a measurable decline in dependency on any single person, the Principal included.

Management owner. The Principal, with board oversight. **LOP role.** Govern and Bring Expertise. Often the LOP is the only person who can raise the Principal's own succession.

Key steps. Identify the roles where an unplanned departure would materially damage the business. Establish an emergency answer for each: who acts tomorrow. Assess internal candidates honestly against the role. Build development plans with real exposure behind them. Define the timeline and decision points for the Principal's own role. Document the

plan and review it annually at board level. Reduce dependency structurally, in relationships, knowledge, and decision rights.

Evidence of success. Every critical role has an emergency answer, at least one internal candidate is on a credible path per critical role, and key-person dependency measurably declines.

Common failure mode. Producing a plan with no development behind it, naming a successor without giving them real responsibility, or avoiding the Principal's own succession, which is usually the point.

Why it is Advanced. Succession depends on the foundational work being done first. It requires a board that can hold the conversation, decision rights that have already moved, and a leadership assessment to build on. Attempting it before those are in place produces a document rather than a transfer of capability.

9. Tools and Work Products

The Plays produce a small set of durable artifacts. Each lives in Compass and should be built with the Member, owned by management, and referenced in practice rather than filed.

TOOL	WHEN TO USE IT	WHAT IT SHOULD ACCOMPLISH	OWNER	COMPASS REFERENCE
Board Prospectus	Recruiting independent directors, or refreshing a board	An honest account of the company, its direction, and what this specific director will contribute, written for a capable director's judgment	Principal, LOP as author	03_E3_T00LS_AND_TEMPLATES/Board_Prospectus.md
Board Skills Matrix	Building a board, before a director's term expires, and annually	A view of the capabilities the strategy will require over three years and where the gaps are, distinguishing what the board needs from what management already has	Board chair or Principal	03_E3_T00LS_AND_TEMPLATES/Board_Skills_Matrix.md
Decision Rights Matrix	During a decision rights reset, when a senior leader joins, or when decisions are stalling	A written statement of who decides what across spend, hiring, pricing, customer terms, and strategic commitments, with the board reserved matters named	Principal or CEO, published to the team	03_E3_T00LS_AND_TEMPLATES/Decision_Rights_Matrix.md
Succession Plan	Annually at board level, when a transition is contemplated, or when key-person risk is raised externally	A documented answer covering emergency and planned succession for every critical role, including the Principal's own	Principal, with board oversight	03_E3_T00LS_AND_TEMPLATES/Succession_Plan.md

Two things make these tools work or fail. The first is that they are built from the company's own strategy and its real decisions rather than from a template, which is why the decision rights matrix is tested against the last ten actual decisions and the skills matrix is built from the three-year plan. The second is that they are referenced after they are built. A decision rights matrix that is published and then bypassed is worse than none, because it demonstrates that the written rules do not hold.

[E3 INPUT REQUIRED] The four tools currently in Compass carry starter structures. Where E3 has an existing version of any of these in active use with Members, it should replace the starter structure so the field guide points to the real instrument rather than a reasonable outline.

10. A Working Example

The following is drawn from a live E3 engagement, anonymized. Names, figures, and identifying details have been removed. It is one engagement, not a validated pattern, and it is included to show the reasoning rather than to prescribe an answer.

The company. A closely held industrial services business with two owner-operators, strong recent earnings, and an advisory board about a year old. The board meets quarterly with a written pre-read circulated in advance. On mechanics, this is already better than most companies of its size.

The observation. At the one-year board meeting, the agenda was almost entirely about roles: which seats to hire, at what level, with what titles and compensation. The strategy discussion had happened somewhere else, between meetings, and arrived in the pre-read as a set of conclusions rather than as questions for the board.

The evidence. Nearly every item on the agenda resolved to the same answer, a person the company does not yet have, and in each case one of the two owners was personally doing the work in the meantime. The board's decisions that day were about titles and pay. Separately, two subjects had never been on a board agenda until this meeting: the owners' liquidity and personal guarantees, and the owners' own eventual transition. A phrase recurred through the day, that a particular change could not be made because someone would be upset.

The likely issue. Read as separate items, this looks like a hiring plan and a compensation exercise. Read together, it is a governance picture. The board is composed and operated as an advisory group, and it is being asked to ratify management's role decisions rather than to shape strategy, capital, and the owners' own succession. The decisions genuinely in front of the company, a balance-sheet recapitalization, the future of a marginal division, and a valuation conversation, are fiduciary in character. The absorbed management layer is a founder-dependency problem wearing the costume of a hiring plan.

What the LOP would investigate. Who is on the board, how they were chosen, and whether the group is composed for the decisions now arriving. When the last time was that a director changed a decision rather than endorsing one. What the owners want, on what timeline, since the liquidity, guarantee, and succession questions all imply an answer that has not been stated. And whether the recurring reluctance to upset someone is a culture observation or a governance one, meaning whether the board has the standing to push past it, which on the evidence of the meeting it began to do.

Relevant E3 knowledge. This sits at the intersection of Board Creation, Founder Decision Rights Reset, and Succession Planning, with Governance as the anchoring capability. The board's move from advisory to something closer to fiduciary is the through-line, because the decisions the company now faces are the kind a fiduciary board exists to own.

A possible intervention. Not a single Play run to completion, but a sequence. First, a direct Principal conversation about what the owners actually want, since the capital and succession questions cannot be governed until that is answered. Then a board composition review against the decisions now on the table, run as Govern. Then the decision-rights work, which addresses the absorbed management layer at its root rather than hiring around it. The order matters. Hiring the missing layer without resetting decision rights would reproduce the dependency one level down.

11. Where Companies Get This Wrong

The recurring governance mistakes in founder-led companies are specific, and they repeat because each one feels reasonable at the time.

Building a board of friendly advisors and calling it governance. The directors are capable and well disposed, the meetings are pleasant, and nothing is ever challenged. The company has the cost of a board and none of the protection. The correction is to recruit for independent judgment against a skills matrix built from the strategy, and to seat at least one director with no dependence on the Principal.

Adding independent directors without giving them authority. A company recruits a genuinely independent director and then reserves no decisions to the board, so the director has standing but nothing to decide. Engagement drains away within two or three meetings. The correction is to define decision rights and board reserved matters before or alongside the recruitment, not after.

Treating the board as an audience for good news. Management brings problems to the board only after resolving them, so the board sees a highlight reel and adds nothing to the decisions that mattered. The correction is to bring live problems to the board while they are still open, which requires the Principal to accept that the board will see the company at its least polished.

Confusing an advisory board with a fiduciary one. A company operates an advisory board while assuming the protections of a fiduciary board, or the reverse. The two are different instruments with different duties, and the decisions now facing the company may require the one it does not have. The correction is to be explicit about which board exists and whether the decisions on the horizon call for the other.

Sophisticated compensation built on unclear roles. A company designs an intricate incentive plan while decision rights and accountability are still unresolved, so the plan pays for outcomes no one clearly owns. The correction is sequence: clarify roles and accountability first, then design the compensation that rewards them.

Leaving the Principal's own succession off the agenda. Every critical role has an emergency answer except the one that matters most. The Principal's transition is the hardest conversation and the one a buyer, lender, and insurer all care about most. The correction is to put it on the board calendar as a standing item, which is usually a conversation only the LOP can start.

12. Advanced Issues

The following are situations an experienced LOP encounters once the foundations are working. They are not a further course, and attempting them before a board functions and decision rights have moved produces documents rather than change.

From advisory to fiduciary. As a company approaches a transaction, a recapitalization, or institutional capital, an advisory board often has to become a fiduciary one. This is a genuine change in duties, composition, and the Principal's own exposure, and it is frequently forced by a decision the advisory board is not constituted to make. The LOP's role is to see the transition coming a year ahead rather than in the diligence period, because assembling a credible fiduciary board under deal pressure is the most expensive time to do it.

CEO and Principal succession. Where the Principal is also the CEO, succession is two problems that are easy to conflate: who runs the company, and who owns the judgment that used to sit with the owner. Emergency succession, who acts tomorrow, comes first and is often neglected because the planned conversation is more comfortable to defer. The board owns this, and the plan is worth nothing without real development behind the names.

Complex ownership. Multiple owners, trusts, family branches, and estate structures change what governance has to do. Voting and economic interests can diverge, and the board may need to serve owners whose objectives differ. The governance question expands from how the company is run to how the owners align, and the two cannot be answered separately. Where the ownership structure is being built for tax or estate reasons, the LOP should ensure the governance implications are considered alongside the tax ones, since the structures rarely arrive with the governance already thought through.

The board as an asset in a sale. At the most developed level, a board becomes an asset a buyer pays for in its own right. A board that drives capital allocation and succession, contributes to M&A judgment, and holds records that survive diligence reduces the risk a buyer perceives and supports the multiple directly. Reaching this level is worth pursuing only once the foundational and intermediate work is solid, and it is the clearest example of governance showing up as enterprise value.

13. LOP Meeting Preparation

A reference for the five minutes before a Member meeting where governance is on the table.

What I would want to know. Who is on the board and why. What the board has decided in the last four meetings. When a director last changed a decision. What the CEO can approve alone, and whether that has ever been written down. What the Principal would do if the board disagreed with them. Whether the Principal's own succession has ever been discussed.

Questions I would ask. What has this board actually decided lately. When someone outside management last changed a decision. What decisions still reach the Principal that should not. If the Principal were gone for six months, who runs the company and who decides that. What will you do if the board disagrees with you.

Data I would request. Board materials and minutes for the last year. The current decision rights or approval thresholds, if any exist. The governance calendar. Director backgrounds and tenure. Any existing succession documentation.

Signals I would watch. Materials arriving late. The same question recurring across agendas. A board that presents rather than decides. The Principal describing the board as a formality. Difficult topics permanently deferred. Reluctance to make a change because someone would be upset.

Relevant Plays. Board Creation and Founder Decision Rights Reset for the foundational work. Executive Compensation Reset where incentives and undocumented promises are the exposure. Succession Planning once the board and decision rights can support it.

Likely next decision. Usually one of: whether to recruit an independent director and against what specification, whether to reset decision rights and what the Principal is willing to release, or whether to put the Principal's own succession on the board calendar. The LOP's task is to bring the company to that decision, not to make it for them.

14. Compass References

Compass Knowledge 01_E3_CORE_KNOWLEDGE/GOV_Governance.md

Related Plays 02_E3_PLAYS/Board_Creation.md 02_E3_PLAYS/Founder_Decision_Rights_Reset.md
02_E3_PLAYS/Executive_Compensation_Reset.md 02_E3_PLAYS/Succession_Planning.md

Related Tools 03_E3_TOOLS_AND_TEMPLATES/Board_Prospectus.md

03_E3_TOOLS_AND_TEMPLATES/Board_Skills_Matrix.md

03_E3_TOOLS_AND_TEMPLATES/Decision_Rights_Matrix.md

03_E3_TOOLS_AND_TEMPLATES/Succession_Plan.md

Question Bank 04_E3_QUESTION_BANK/LOP_Question_Bank.md

Engagement Model and Terminology 00_SYSTEM/LOP_ENGAGEMENT_MODEL.md

07_ADMIN/E3_TERMINOLOGY.md

E3 Compass Field Guide. Internal E3 document. Reflects E3's current operating point of view, drawn from the Compass Governance knowledge and the associated Plays, Tools, and Question Bank. It is not a substitute for legal or fiduciary advice on any specific board or transaction.